

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester VI Examination, 2022-23

Paper No. BCH-322: Goods and Service Tax Act and Customs Acts

Time: 3 Hours

Maximum Marks: 70

Instructions: Attempt all questions. Each question carries equal marks (14 marks each).

Question 1. Explain the reasons for adopting GST in India and its merits and limitations. Explain the tax laws that got replaced by GST. [14]

OR

Write a detailed note on exempted supply, non-taxable supply, zero rated supply and export of goods and services. [14]

Question 2. What is mandatory registration? How does it differ from voluntary registration? Explain the different types of registration in GST. [14]

OR

What details are furnished in GSTR-1 and GSTR-2? What are the procedure and time limit applicable for the revision/rectification of details furnished in GSTR-1 and GSTR-2? [14]

Question 3. What items are included and excluded in transaction value for the computation of taxable value under GST? [14]

OR

XYZ Ltd., a registered manufacturer in the state of Uttar Pradesh, provides the following particulars for the tax period of April, 2022:

- (a) Inputs purchased within the state: Rs. 5,04,000 (including 12% GST).
- (b) Machinery purchased on 12-04-2022 for Rs. 3,00,000 (excluding 12% GST) from a dealer in Delhi is eligible for the input tax credit. Depreciation is charged at 10% p.a.
- (c) Manufacturing expenses: Rs. 1,60,000.
- (d) The profit margin is 20% of the sales price.
- (e) The goods produced were sold to a buyer in Patna with 18% IGST on sales.
- (f) A 5% discount was allowed at the time of sale, and subsequently a 2% discount was allowed at the time of payment.

Calculate the amount of GST payable after utilizing the input tax credit for the month of April, 2022, assuming that no opening balance of input tax credit was available. [14]

Question 4. Describe the features of Customs Duty in India. Explain the role of Customs Duty in International Trade. [14]

OR

What do you mean by the import of Goods? Describe the various categories under which imports can be made. [14]

Question 5. Elucidate the valuation rules under Customs Duty. Describe items includable in determining the Assessable Value under Customs Act. [14]

OR

An Indian importer has imported raw material for 5,000 dollars in August, 2022. Following information is available:

- (a) Packaging charges of goods: 120 dollars.
- (b) Goods were stuffed in a container (returnable); price of the container is 400 dollars.
- (c) Insurance premium: 50 dollars.
- (d) Sea freight: 160 dollars.
- (e) The importer had paid a commission of 100 dollars to a broker who arranged the transaction.
- (f) Dollar Rate is Rs. 80 = 1 dollar.
- (g) Basic Customs Duty is 10%.
- (h) Integrated tax u/s 3(7) of Customs Tariff Act 1975 is 12%.

Find out the assessable value of imported goods and Customs Duty Payable. [14]